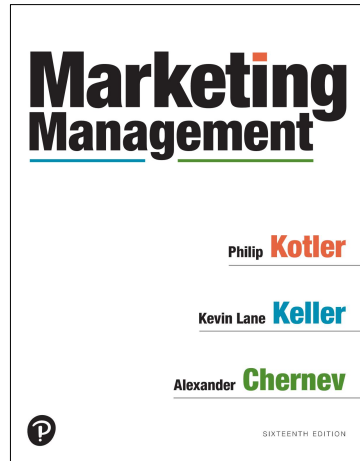


Marketing Management

Sixteenth Edition



Chapter 10

Building Strong Brands



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1

Learning Objectives

10.1 Explain the role of brands in creating market value.

10.2 Describe the key principles in designing brand elements and associations.

10.3 Discuss how a company should design the hierarchy of its brands.

10.4 Explain how a company should manage its brands over time.

10.5 Describe the key aspects of luxury branding.



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How Does Branding Work?

- American Marketing Association
 - A **brand** is “a name, term, sign, symbol, or design, or a combination of them, intended to identify the goods or services of one seller or group of sellers and to differentiate them from those of competitors”
 - differences may be functional, rational, or tangible—related to product performance of the brand
 - May also be more symbolic, emotional, or intangible—related to what the brand represents or means in a more abstract sense.



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The Essence of Branding

- **Branding**
 - The process of endowing products and services with the power of a brand
 - Effective branding creates mental structures that help consumers organize their knowledge about products and services in a way that clarifies their decision making and, in the process, provides value to the firm



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The Role of Brands (1 of 2)

- Brands' role for consumers (Promise between Firm and Consumer)
 - Set and fulfil expectations
 - Reduce risk
 - Simplify decision making
 - Take on personal meaning
 - Become part of identity



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The Role of Brands (2 of 2)

- Brands' role for firms
 - Simplify product handling
 - Organize inventory and accounting
 - Offer legal protection
 - Create brand loyalty
 - Secure competitive advantage



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Brand Equity

- **Brand equity**
 - The monetary value of a brand
 - **Goodwill**
 - The monetary value of all intangible assets of a company



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Measuring Brand Equity

- Gauging brand equity
 - **Cost approach**
 - **Market approach**
 - **Financial approach**



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Brand Power

- **Brand power**
 - The ancillary value contributed by the brand to a product or a service
- **Customer-based brand equity**



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Measuring Brand Power

- **Brand audit**
 - Focused series of procedures to assess the health of the brand, uncover its sources of brand equity, and suggest ways to improve and leverage its equity
- **Brand tracking**
 - Brand audit is used as input to collect quantitative data from consumers over time, providing consistent, baseline information



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Designing the Brand (1 of 3)

- **Brand mantra**
 - A three- to five-word articulation of the heart and soul of the brand
 - Communicate brand's uniqueness
 - Simplify brand essence
 - Inspire



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Designing the Brand (2 of 3)

- **Choosing brand elements:**
 - **Memorable**
 - **Meaningful**
 - **Likable**
 - **Transferable**
 - **Adaptable**
 - **Protectable**



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Designing the Brand (3 of 3)

- **Brand characters**

- A special type of brand symbol—one with human characteristics that both enhance likability and tag the brand as interesting and fun



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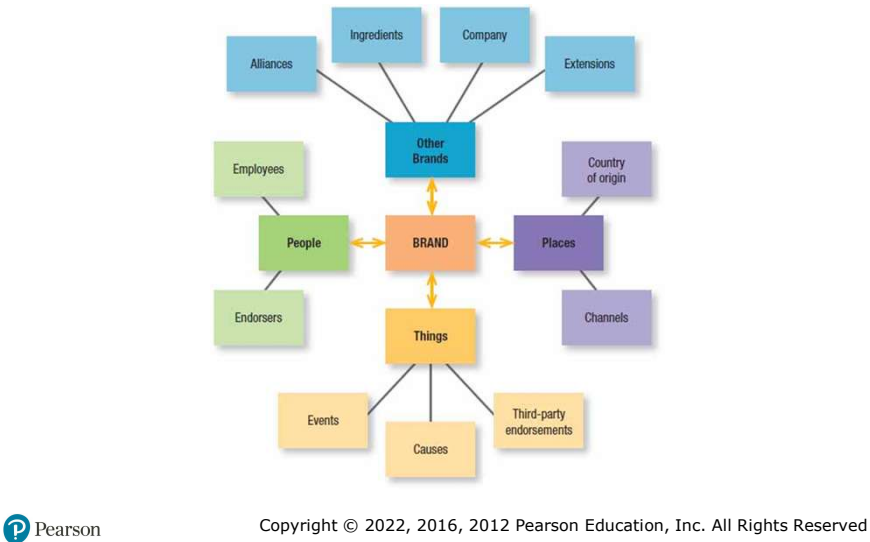
Choosing Secondary Associations

- **Brand personality**

- The specific mix of human traits that we can attribute to a particular brand

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Figure 10.1 Secondary Sources of Brand Knowledge



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Brand Hierarchy

- Brand hierarchy
 - Reflects the way in which a company’s brands are related to a company’s products and services, as well as to one another

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Managing Brand Portfolios (1 of 2)

- **Brand portfolio**
 - The set of all brands and brand lines a particular firm offers for sale in a particular category or market segment



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Managing Brand Portfolios (2 of 2)

- Three strategies:
 - House-of-brands strategy
 - Branded-house strategy
 - **Flagship product**
 - **Branded variants**
 - Sub-brand strategy



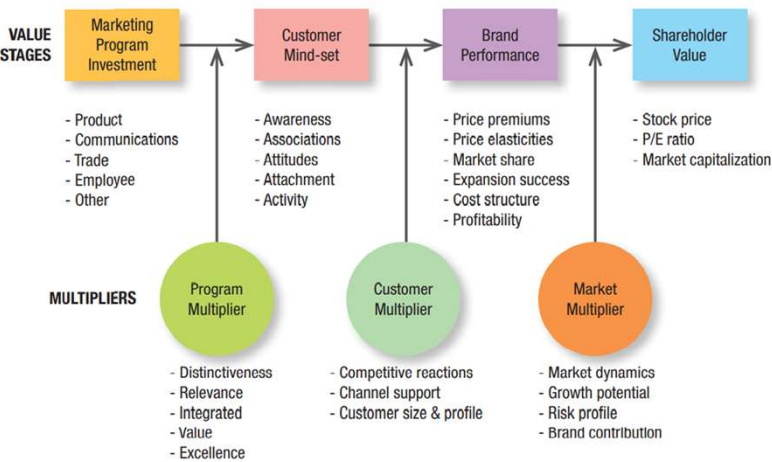
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Cobranding

- **Cobranding** aka dual branding
 - Two or more brands marketed together
 - Same company cobranding
 - Joint venture cobranding
 - Ingredient cobranding

Figure 10.2 Brand Value Chain



Brand Dynamics (1 of 2)

- Brand repositioning
 - Back to basics strategy
 - Reinvention strategy



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Brand Dynamics (2 of 2)

- Brand extension
 - Advantages
 - Disadvantages
 - **Brand dilution**



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Managing a Brand Crisis

- Guidelines
 - Empathy
 - Value
 - Strategy
 - Innovation



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Luxury Branding (1 of 2)

- Characteristics:
 - Quality
 - Uniqueness



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Luxury Branding (2 of 2)

- Managing luxury brands
 - Finding the right balance

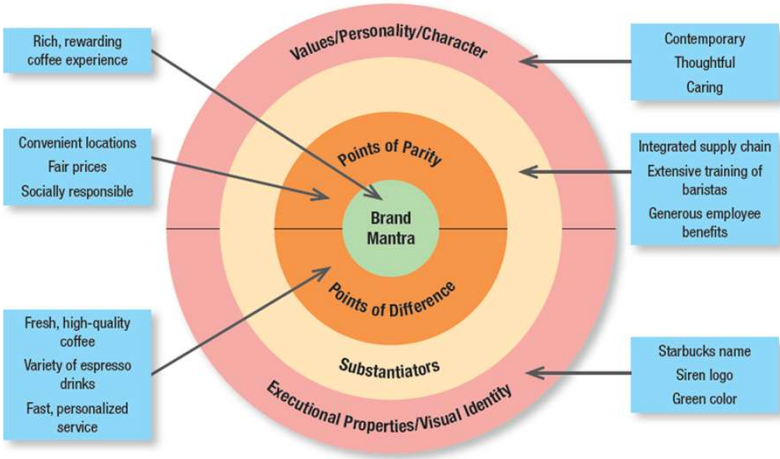


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Figure 10.3 A Hypothetical Example of a Starbucks Brand Positioning Bull’s-Eye



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Discussion Questions (1 of 2)

- BMW, aka “the ultimate driving machine,” has built its brand by differentiating it from the competition and suggesting, through its message, that it is superior to everything else on the market.
 - Consider how BMW has built its brand. How do the brand’s elements create brand equity?
 - How has the brand evolved?



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Discussion Questions (2 of 2)

- The Rolling Stones, considered by many to be the greatest rock-n-roll band in the world, is not only the band’s name, but also its brand.
 - Discuss the Rolling Stones as a brand. What image is it trying to convey? How is the brand reinforced?
 - How does the tongue logo used across its merchandise line, tickets, and so on reinforce the brand created by the band?



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